ASSET DISPOSAL:

The purpose of buying tangible assets in a business is to use them to make money for the business. Tangible assets (things that can be seen) are sold when a more technologically advanced model replaces the asset or when the asset is no longer economically useful.

When a business sells a tangible asset, it has to open an Asset disposal account. This account is opened and closed on the day the asset is sold. The **Asset disposal account** contains at most the following four entries:

1. The cost price of the asset.
2. The accumulated depreciation on the asset at the time of sale.
3. The price at which the asset was sold.
4. The profit or loss on the sale of the asset.

The Asset disposal account is an intermediary account and will be treated as a nominal account in the General Ledger.

Recording procedures:

Journal	Account debit	Account credit
Step 1: Calculate the depreciation.		
GJ	Depreciation	Accumulated depreciation on asset (vehicle or equipment)
Step 2: Transfer the cost price to the asset disposal account.		
GJ	Asset disposal	Asset account (vehicles or equipment)
Step 3: Transfer the accumulated depreciation to the asset disposal account.		
GJ	Accumulated depreciation on asset (Vehicles or equipment)	Asset disposal
Step 4: Sell, trade-in, donate or take the asset for personal use.		
Sell: CRJ (Cash) GJ (Credit)	 Bank Debtor (name)/Debtors control	 Asset disposal Asset disposal
Trade-in: GJ	 Creditor (name)/Creditors control	 Asset disposal
Donate: GJ	 Donation	 Asset disposal
Personal use: GJ	 Drawings	 Asset disposal
Step 5: Calculate the profit or loss on the sale of the asset.		
Profit: GJ	 Asset disposal	 Profit on sale of asset
Loss: GJ	 Loss on sale of asset	 Asset disposal